

How Zed works — product and revenue model

Zed offers one product: a **Mastercard revolving credit card** with a built-in **installment feature**. Every cardholder is on this product. Revenue comes from three sources — **interchange** on every purchase, **interest** when a cardholder revolves, and **installment charges** when a cardholder converts a purchase into a fixed-term plan — plus a late-payment penalty. Zed charges no annual fee and does not offer cash advances. This note explains the mechanics end to end and where each peso of revenue arises.

INTERCHANGE

Earned at the swipe on every purchase, regardless of how the cardholder later pays. Settled on the network side; never posts to the cardholder's account.

Rate set by the Mastercard interchange schedule; varies by merchant category and domestic vs international.

REVOLVING INTEREST

3% per month, applied as 0.1% per day on billed balances not paid in full by the due date. Cardholders who pay in full every cycle pay no interest.

At the BSP ceiling for card finance charges.

INSTALLMENT CHARGES

Upfront fee of 0.5% × term months, billed at enrollment; add-on interest of 1% of original principal per month over the term (3 / 6 / 12 months).

Add-on rate at the BSP ceiling.

1. The purchase — where interchange is earned

A purchase follows the standard four-party card flow. The cardholder swipes at a merchant; the merchant's acquirer routes an authorization to Zed through Mastercard; Zed approves. At settlement (T+1) Zed funds the purchase amount to the network, **net of interchange**, and the merchant receives the amount less its merchant discount rate. On Zed's ledger the cardholder now owes the purchase amount.

Interchange is therefore earned on **every** purchase at the moment of settlement. What the cardholder does afterwards — pays in full, revolves, or enrolls the purchase in installments — never changes the transaction-level economics. Because installment enrollment happens after the purchase (see §4), there is no way to distinguish at the swipe a purchase that will later be enrolled from one that will not.

Interchange is settled between Zed and the network and does not appear on cardholder statements or in receivables tapes. See *Installment Funds Flow* (Data Room / Product), Part 1, for the swimlane view.

2. The statement cycle — the mechanism everything else runs through

- 1 **Purchases post** to the cardholder's balance through the cycle. Purchases made during the current cycle have not yet been billed and accrue no interest while the cycle is running.
- 2 **Statement generated** at cycle close. It fixes the **statement balance**, the **Minimum Payment Due (MPD)** and the **payment due date**.

$$\text{MPD} = \max(10\% \times (\text{statement balance} - \text{late fees} - \text{past-due amount} - \text{installment billings}) + \text{late fees} + \text{past-due amount} + \text{installment billings} , \text{₱1,000})$$

In words: 100% of any late fees, past-due amounts and billed installment amounts, plus 10% of the remaining statement balance, floored at ₱1,000.

- 3 **Cardholder pays** by the due date. What they pay — the full statement balance, something between the MPD and the full balance, or less than the MPD — determines the economics below.

3. Payment behavior — pay in full vs revolve

Paying in full and revolving are two behaviors on the same card, not separate products. The cardholder chooses each cycle.

3a. Pay in full → interchange only

Grace period. A cardholder who paid the prior statement in full owes no interest on purchases through the current due date. One who pays the statement balance in full by the due date every cycle never pays interest; Zed's revenue on that cardholder is interchange alone.

3b. Revolve → 3% per month on billed balances

- **Losing the grace period.** Paying anything less than the full statement balance by the due date — even well above the MPD — loses the grace period.
- **What accrues interest.** Only balances that have been *billed* on a statement. Current-cycle purchases are not yet billed and do not accrue; they become interest-bearing only once they appear on a statement that is then not paid in full.
- **When interest starts.** On the statement day, not the due date. For a cardholder who has already lost the grace period, each statement's unpaid balance accrues from the day the statement is generated. In the cycle in which the grace period is first lost, interest is applied back to that statement day — the cardholder who underpays at the due date is charged daily interest counted from statement generation, not from the day of the underpayment.
- **Daily math.** 3% per month is applied as **0.1% per day** (30-day banking convention: a 31-day month accrues 3.1%, a 28-day month 2.8%) on each day's outstanding billed balance; payments reduce the balance the day they post. The summed daily interest bills on the next statement.
- **Residual interest.** Once the grace period is lost, paying in full mid-cycle stops accrual going forward, but interest already accrued for the days the balance existed still bills on the following statement.
- **Regaining the grace period.** Pay the total balance in full by the due date; the grace period resumes from the following cycle.

Worked example. A cardholder who has lost the grace period carries a ₱1,000 statement balance and pays ₱250 on day 11 of a 30-day cycle. Interest accrues on ₱1,000 for days 1–10 (₱10.00) and on ₱750 for days 11–30 (₱15.00); ₱25.00 is billed on the next statement.

4. The installment feature — post-purchase conversion of a card purchase

Installments are not a separate loan product. A plan converts an **existing card purchase** into a fixed-term schedule — in the style of AmEx "Pay Over Time" — so there is no cash disbursement, nothing is netted at origination, and installment balances exist only inside the card account. Plans are billed on the card statement and governed by the card's MPD; it is not possible to be delinquent on an installment independently of the card.

- 1 **Enrollment — optional, eligible purchases only, and only within the purchase's statement cycle.** Not every purchase can be enrolled: eligibility is determined by Zed's rules [Steve: state the criteria — e.g. minimum amount, merchant or transaction type]. An eligible purchase may be enrolled in a 3-, 6- or 12-month plan only during the statement cycle in which it was made. On enrollment the purchase amount is reclassified from purchase balance to installment balance.
- 2 **Upfront fee, billed in the enrollment cycle.** $0.5\% \times \text{term months}$ — **1.5% / 3% / 6%** for 3 / 6 / 12 months — charged to the account and billed in full on the enrollment-cycle statement.
- 3 **Monthly billing over the term.** Each statement bills **1/X of the original principal plus add-on interest of 1% of the original principal**. The first 1/X lands on the enrollment-cycle statement itself, alongside the upfront fee. Over the term, total add-on interest is 3% / 6% / 12% of principal for 3 / 6 / 12 months.

- 4 **Billed amounts convert to revolving balance and sit inside the MPD.** Once billed, the installment amount is part of the statement balance like any other charge, and the MPD formula includes **100% of it**. The cardholder must pay at least the full installment billing (plus that cycle's add-on interest) by the due date — a billed installment cannot be re-revolved past its own cycle. For a cardholder whose grace period is intact, billed installment amounts accrue no interest; for one who has lost it, they accrue the daily 0.1% from statement date until paid, like any other billed balance.
- 5 **End of term.** After X statements the installment balance is zero.

Worked example — ₱12,000 purchase enrolled in a 6-month plan. Enrollment-cycle statement bills ₱2,480: ₱360 upfront fee (3%) + ₱2,000 principal (1/6) + ₱120 add-on (1%). Each of the next five statements bills ₱2,120. Total collected ₱13,080 = ₱12,000 principal + ₱1,080 finance charge (9.0% of principal: 3% upfront + 6 × 1% add-on). Full swimlane in *Installment Funds Flow*, Data Room / Product.

Early termination and prepayment

- **Cancelled within the enrollment cycle:** the plan unwinds — the upfront fee is reversed and no interest is charged. Nothing has yet been billed and the cardholder has not floated any of the purchase, so it is treated as a foot fault.
- **Cancelled in any later cycle:** the upfront fee is retained and a termination fee equal to the current cycle's add-on interest is charged; remaining principal is accelerated into the revolving balance and billed. Add-on interest for the remaining months is never charged, so no rebate arises.
- **Prepayment is not automatic.** A cardholder must explicitly end a plan; the mechanics above then apply. Cancellations also include past-due-related accelerations.

5. Delinquency and provisioning

- If the MPD is not met by the due date the account is past due and a **hard card freeze applies at DPD 1**. Zed reserves the right to collect the entire balance.
- A **₱1,000 late-payment penalty** is charged if payment has not been made within the 2-day late-payment grace period after the due date. Interest continues to accrue on the unpaid balance while delinquent, and the past-due amount includes accrued finance charges.
- Re-aging to Current requires all arrears to be cleared. There is no restructuring or re-aging programme.
- Provisioning uses a single Net Flow Rate methodology across all balances, segmented by days past due (eight buckets, Current through 181+) rather than by product — revolving and installment balances flow through the same buckets because they are one product.

6. Revenue summary — what Zed earns, when, and where it shows

Stream	Trigger	Rate / amount	When billed or earned	Where it appears
Interchange	Every purchase settlement	Per the Mastercard interchange schedule (varies by merchant category, domestic vs international)	T+1, netted from Zed's settlement funding	Network settlement reporting; not on cardholder statements or receivables tapes
Revolving interest	Statement balance not paid in full by the due date	3% / month as 0.1% / day on billed balances	Accrues daily from the statement date; bills on the next statement	Statement tape — interest
Installment upfront fee	Enrollment of a purchase in a plan	0.5% × term months (1.5% / 3% / 6%)	Enrollment-cycle statement, in full	Statement tape — installment fees; installment tape
Installment add-on interest	Each cycle of an active plan	1% of original principal per month (3% / 6% / 12% over the term)	Each statement over the term	Statement tape — installment charges; installment tape
Installment termination fee	Plan cancelled after the enrollment cycle	Equal to the current cycle's add-on interest	Cancellation-cycle statement	Statement tape — installment fees
Late-payment penalty	MPD unpaid 2 days after the due date	₱1,000	Next statement	Statement tape — late fees
Not charged	No annual fee; cash advances are not offered. Late fees, installment upfront fees and installment termination fees are the only fees Zed charges.			

PRICING CONTEXT

The revolving rate (3% / month) and the installment add-on (1% / month) sit at the current BSP ceilings for credit-card finance charges and installment add-on interest. Zed, other issuers and the Credit Card Association of the Philippines are engaged with the BSP on the periodic re-evaluation of these caps.

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